Appendix 1A: Mini Case: Pet Shop Ltd.

Pet Shop Ltd., a merchandiser, started its business on January 1, 2022. Subsequently, it had the following transactions in the month of January 2022. Explain the effect of these transactions on assets, liabilities, and equity using the Accounting Equation. After that, prepare a table showing the impact of each transaction on cash, other assets (mention the name of the asset), liabilities (mention the name of the liability), equity share capital, and income & expense (mention the name of the income or expense). Based on this table, prepare a simple income statement, balance sheet, and cash flow statement.

1. On 01-01-2022, Issued equity shares and received ₹10 lakh.
2. On 02-01-2022, Rented a store for a monthly rent of ₹50,000. Gave a security deposit of ₹75,000, which is refundable when the one-year rental agreement expires. Rent will be paid in arrears at the beginning of next month.
3. On 03-01-2022, Borrowed from the bank ₹9 lakh. Interest is payable @ 1% per month on March 31.
4. On 04-01-2022, Bought store equipment for ₹5 lakh. It will be used for five years and then sold for ₹20,000.
5. On 05-01-2022, Bought a store management software license for ₹252,000. It will be used for three years, and after that, it will be of no use.
6. On 06-01-2022, Purchased stock-in-trade ₹200,000 cash and 300,000 payable next month.
7. On 06-01-2022, Paid freight outward ₹10,000 to send goods to a customer.
8. On 07-01-2022, Sold goods (costing ₹400,000) for ₹800,000. ₹300,000 is cash sales. The remainder will be collected next month.
9. On 15-01-2022, Paid ₹1,92,000 premium for a 24-month fire insurance policy starting 16-01-2022.
10. On 16-01-2022, Purchased supplies by paying cash for ₹5,000.
11. On 27-1-2022, Received bills for utility expenses of ₹15,000 payable next month.
12. On 30-01-2022, Received ₹20,000 as an advance from a customer, Jayant, for the supply of goods next month.
13. On 31-01-2022, Paid staff salaries for the month ₹65,000.
14. On 31-01-2022, Earned Interest income on Bank Balance ₹1,000, which is receivable on 31-03-2022.
15. On 31-01-2022, the monthly rent of ₹50,000 is due.
16. On 31-01-2022, the monthly depreciation for store equipment is ₹8,000.
17. On 31-01-2022, the monthly amortization for software is ₹7,000.
18. On 31-01-2022, the Cost of supplies consumed is ₹3,000.
19. On 31-01-2022, the monthly Interest Expense accrued is ₹9,000.
20. On 31-01-2022, the Insurance expense for the half month is ₹4,000.

21. Income Tax payable @ 25%
22. Paid Equity Dividend of Rs.50,000

February

23. Sold Rs.5k goods @40% gross margin to Jayant
24. Collected money from customer for sale made on Jan 7th and provided a 1% discount (Discuss: Discounts reduce topline)
25. Paid utility bill

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